Income Tax Department
Government of India

PART II

DETERMINATION OF INCOME

A.—Salaries

Limits for the purposes of section 10(*13A*).

2A. The amount which is not to be included in the total income of an assessee in respect of the special allowance referred to in clause (*13A*) of section 10 shall be—

(*a*) the actual amount of such allowance received by the assessee in respect of the relevant period; or

(*b*) the amount by which the expenditure actually incurred by the assessee in payment of rent in respect of residential accommodation occupied by him exceeds one-tenth of the amount of salary due to the assessee in respect of the relevant period; or

(*c*) an amount equal to—

(*i*) where such accommodation is situate at Bombay, Calcutta, Delhi or Madras, one-half of the amount of salary due to the assessee in respect of the relevant period; and

(*ii*) where such accommodation is situate at any other place, two-fifth of the amount of salary due to the assessee in respect of the relevant period,

(*d*) [***]

whichever is the least.

Explanation.—In this rule—

(*i*) "salary" shall have the meaning assigned to it in clause (*h*) of rule 2 of Part A of the Fourth Schedule;

(*ii*) "relevant period" means the period during which the said accommodation was occupied by the assessee during the previous year.

(*iii*) [***]